

HOUSING FINANCE

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UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2015	30.06.2014	Bank		30.06.2015	Group Consolidated		
		Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	31.03.2015 Unaudited (Ksh'000)	Unaudited (Ksh'000)	30.06.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)
A. ASSETS								
1	Cash balances (both local and foreign)	165,822	285,753	293,144	277,468	165,822	285,753	277,468
2	Balances due from Central Bank of Kenya	1,324,811	2,756,198	2,212,712	2,705,869	1,324,811	2,756,198	2,705,869
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-
	a) Held to Maturity:	-	-	-	251,595	-	-	251,595
	a. Kenya Government securities	-	-	-	251,595	-	-	251,595
	b. Other securities	-	-	-	-	-	-	-
	b) Available for sale:	287,651	264,331	254,911	263,911	287,651	264,331	263,911
	a. Kenya Government securities	287,651	264,331	254,911	263,911	287,651	264,331	263,911
	b. Other securities	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	5,381,142	7,616,243	7,412,427	7,985,196	5,381,155	7,616,256	7,985,209
7	Deposits and balances due from banking institutions abroad	249,469	967,266	75,058	113,892	249,469	967,266	113,892
8	Tax recoverable	140,824	4,315	-	49,898	131,558	14,260	59,562
9	Loans and advances to customers (net)	38,806,810	45,243,539	47,688,648	49,983,574	38,806,810	45,243,539	49,983,574
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-
12	Investments in subsidiary companies	255,120	255,120	1,605,120	1,605,120	-	-	-
13	Investment in Joint ventures	190,800	172,549	201,017	201,017	190,800	172,549	201,017
14	Investment properties	-	-	-	65,009	-	314,347	741,140
15	Property and equipment	974,986	1,282,081	1,323,353	1,323,664	980,996	1,282,252	1,324,253
16	Prepaid operating lease rentals	40,095	39,860	39,745	39,629	46,363	46,038	45,731
17	Intangible assets	463,802	521,114	649,269	674,704	463,802	521,114	674,948
18	Deferred tax asset	313,116	445,431	445,431	445,431	313,278	446,455	446,455
19	Retirement benefit asset	-	-	-	-	-	-	-
20	Other assets	505,463	637,034	580,238	617,219	1,035,479	1,031,322	943,845
21	TOTAL ASSETS	49,099,911	60,490,833	62,781,072	66,538,187	49,443,003	60,961,680	66,018,469
B. LIABILITIES								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23	Customer deposits	27,782,591	36,310,472	34,314,786	38,813,529	27,664,743	36,105,929	37,436,860
24	Deposits and balances due to local banking institutions	-	-	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-
27	Borrowed funds	14,821,660	16,996,112	17,101,929	16,987,451	14,968,660	17,143,112	16,987,451
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-
29	Tax payable	-	-	74,769	-	-	-	9
30	Dividends payable	220,138	46,307	29,189	270,788	220,138	46,307	270,788
31	Deferred tax liability	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-
33	Other liabilities	632,131	861,909	1,439,836	804,105	721,551	1,107,450	1,376,325
34	TOTAL LIABILITIES	43,456,520	54,214,800	52,960,509	56,875,873	43,575,092	54,402,798	56,071,431
C. SHAREHOLDERS' FUNDS								
35	Paid up /Assigned capital	1,155,350	1,157,900	1,741,233	1,741,233	1,155,350	1,157,900	1,741,233
36	Share premium/(discount)	1,554,523	1,557,073	4,304,950	4,357,989	1,554,523	1,557,073	4,357,989
37	Revaluation reserves	512,332	701,568	701,892	701,462	512,332	701,568	701,462
38	Retained earnings/Accumulated losses	2,090,465	2,616,281	2,893,298	2,719,051	2,314,985	2,899,130	3,003,774
39	Statutory loan loss reserves	320,956	64,021	-	137,073	320,956	64,021	137,073
40	Other Reserves	(40,985)	(45,245)	(45,245)	(45,245)	(40,985)	(45,245)	(45,245)
41	Proposed dividends	-	173,685	173,685	-	-	173,685	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	5,643,391	6,276,033	9,820,564	9,662,314	5,867,911	6,558,882	9,947,037
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	49,099,911	60,490,833	62,781,072	66,538,187	49,443,003	60,961,680	66,018,469

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2015	30.06.2014	Bank		30.06.2015	Group		
		Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	31.03.2015 Unaudited (Ksh'000)	Unaudited (Ksh'000)	30.06.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)
1	INTEREST INCOME							
1.1	Loans and advances	2,628,318	5,814,279	1,633,277	3,361,786	2,628,797	5,814,833	3,361,786
1.2	Government securities	17,584	36,014	8,788	17,853	17,584	36,014	17,853
1.3	Deposits and placements with banking institutions	265,713	523,935	148,931	320,518	265,713	523,935	320,518
1.4	Other Interest Income	-	-	-	-	-	-	-
1.5	Total interest income	2,911,615	6,374,228	1,790,996	3,700,156	2,912,094	6,374,782	3,700,156
2	INTEREST EXPENSES							
2.1	Customer deposits	892,853	1,882,732	597,562	1,178,125	884,891	1,867,321	1,171,800
2.2	Deposits and placement from banking institutions	-	-	-	-	-	-	-
2.3	Other interest expenses	687,250	1,473,482	411,705	816,038	687,250	1,473,482	816,038
2.4	Total interest expenses	1,580,103	3,356,214	1,009,267	1,994,163	1,572,141	3,340,803	1,987,837
3	NET INTEREST INCOME/(LOSS)	1,331,512	3,018,014	781,729	1,705,993	1,339,953	3,033,979	1,712,319
4	OTHER OPERATING INCOME							
4.1	Fees and commissions on loans and advances	11,740	232,497	57,779	99,643	11,740	232,497	99,643
4.2	Other fees and commissions	40,520	79,576	22,651	47,531	163,920	134,542	80,370
4.3	Foreign exchange trading income/(Loss)	17,090	17,803	3,277	47,505	17,090	17,803	47,505
4.4	Dividend Income	2,375	2,375	-	-	2,375	2,375	-
4.5	Other income	216,660	179,564	14,940	37,763	311,170	455,478	79,421
4.6	Total Non-interest income	288,385	511,814	98,646	232,442	506,295	842,695	306,940
5	TOTAL OPERATING INCOME	1,619,897	3,529,828	880,375	1,938,436	1,846,248	3,876,674	2,019,259
6	OPERATING EXPENSES							
6.1	Loan loss provision	175,514	551,219	144,709	283,364	175,514	551,219	283,364
6.2	Staff costs	450,935	965,412	248,168	521,850	469,950	976,430	545,516
6.3	Directors' emoluments	9,016	14,262	1,655	8,013	9,256	23,262	8,169
6.4	Rental charges	11,435	31,289	13,308	13,308	12,931	34,359	14,577
6.5	Depreciation charge on property and equipment	49,572	77,539	23,762	46,039	49,724	77,845	46,175
6.6	Amortisation charges	5,158	12,710	5,026	6,378	5,158	12,710	6,378
6.7	Other operating expenses	307,444	592,594	180,134	409,771	445,940	781,944	456,099
6.8	Total Other Operating Expenses	1,009,074	2,245,025	616,763	1,288,723	1,168,473	2,457,769	1,360,279
7	Profit/(loss) before tax and exceptional items	610,823	1,284,803	263,612	649,712	677,775	1,418,904	658,980
8	Exceptional items	-	(18,251)	40,668	40,668	-	(18,251)	40,668
9	Profit/(loss) after exceptional items	610,823	1,266,552	304,281	690,381	677,775	1,400,653	699,648
10	Current tax	(183,247)	(546,261)	(91,284)	(207,114)	(203,333)	(576,027)	(214,508)
11	Deferred tax	-	149,849	-	-	-	150,710	-
12	Profit/(loss) after tax and exceptional items	427,576	870,140	212,996	483,266	474,442	975,336	485,140
13	Other Comprehensive Income							
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	-	(85,151)	-	-	-	(85,151)	-
13.3	Revaluation surplus on Property,plant and equipment	-	226,161	-	-	-	226,161	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	(17,533)	-	-	-	(17,533)	-
14	Other Comprehensive Income for the year net of tax	-	123,477	-	-	-	123,477	-
15	Total comprehensive income for the year	427,576	993,617	212,996	483,266	474,442	1,098,813	485,140
	Earnings per share	3.70	3.76	2.45	2.78	4.11	4.21	2.79
	Dividend per share	0.75	1.50	-	0.65	0.75	1.50	0.65

III	DISCLOSURES AS AT 30 JUNE 2015	30.06.2014	Bank	31.03.2015	30.06.2015	Group Consolidated		30.06.2015
		Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	30.06.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Unaudited (Ksh'000)
1	Non-Performing Loans and Advances							
a)	Gross non-performing loans and advances	3,874,969	4,163,451	3,871,637	4,159,032	3,874,969	4,163,451	4,159,032
b)	Less: Interest in Suspense	218,270	202,458	403,075	453,142	218,270	202,458	453,142
c)	Total Non-Performing loans and advances (a-b)	3,656,699	3,960,993	3,468,562	3,705,890	3,656,699	3,960,993	3,705,890
d)	Less: Loan loss provisions	684,252	813,945	603,677	771,541	684,252	813,945	771,541
e)	Net non-performing loans and advances(c-d)	2,972,447	3,147,048	2,864,885	2,934,349	2,972,447	3,147,048	2,934,349
f)	Discounted value of securities	2,972,447	3,147,048	2,864,885	2,934,349	2,972,447	3,147,048	2,934,349
g)	Net Exposure(e-f)	-	-	-	-	-	-	-
2	Insider loans and advances							
a)	Directors, shareholders and associates	275,549	430,568	448,553	492,585	275,549	430,568	492,585
b)	Employees	831,284	851,725	916,974	897,310	831,284	851,725	897,310
c)	Total insider Loans and Advances	1,106,833	1,282,293	1,365,527	1,389,895	1,106,833	1,282,293	1,389,895
3	Off-Balance Sheet items							
a)	Letters of credit, guarantees and acceptances	84,378	74,730	81,099	203,381	84,378	74,730	203,381
b)	Other contingent liabilities	-	-	-	-	-	-	-
c)	Total contingent liabilities	84,378	74,730	81,099	203,381	84,378	74,730	203,381
4	Capital Strength							
a)	Core capital	4,232,449	4,840,577	8,342,307	7,085,965			
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000			
c)	Excess/Deficiency	3,232,449	3,840,577	7,342,307	6,085,965			
d)	Supplementary capital	2,185,880	1,730,919	1,599,837	1,613,308			
e)	Total capital (a+d)	6,418,329	6,571,497	9,942,144	8,699,273			
f)	Total risk weighted assets	38,766,696	43,534,183	46,194,268	49,430,848			
g)	Core capital /Total deposit liabilities	15.23%	13.33%		24.31%			
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%			
i)	Excess/Deficiency	7.23%	5.33%	16.31%	10.26%			
j)	Core capital /Total risk weighted assets	10.92%	11.12%	18.06%	14.34%			
k)	Minimum Statutory Ratio	8.00%	8.00%	10.50%	10.50%			
l)	Excess/Deficiency (j-k)	2.92%	3.12%	7.56%	3.84%			
m)	Total capital /Total risk weighted assets	16.56%	15.10%	21.52%	17.60%			
n)	Minimum Statutory Ratio	12.00%	12.00%	14.50%	14.50%			
o)	Excess/Deficiency (m-n)	4.56%	3.10%	7.02%	3.10%			
5	Liquidity							
a)	Liquidity Ratio	25.82%	30.76%	28.31%	27.30%			
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%			
c)	Excess(Deficiency) (a-b)	5.82%	10.76%	8.31%	7.30%			